Conditional Performance Evaluation

- **<u>Objective:</u>** Our objective with this exercise is to explore how our ranking of managers from Hw7 changes when we use some conditioning variables, as recommended by Ferson and Schadt (1996) and Christopherson, Ferson, and Turner (1999). The following SAS datasets are available for you to complete today's list of tasks:
  - A. netreturns
  - B. tbill
  - C. FSCC_regressors

- A.netreturns
  - This file contains monthly net returns for several U.S. mutual funds.
- B.Tbills
  - This file contains the monthly returns for U.S. Treasury Bills ("tbillretto") and the S&P 500 stocks ("sp500retto"; rebalanced monthly, with cash dividends reinvested).
- C.FSCC_regressors
  - This file contains the lagged levels of macroeconomic variables from Ferson and Schadt (1996). They include: dividend yield, term spread, T-bill yield, quality spread, and January dummy. For convenience, the lagged variables are already multiplied by the Carhart regressors.

HW8

Please complete the following tasks:

1. Compute the conditional-beta Jensen alpha for each mutual fund, and rank the funds on this performance measure. That is, use a six-factor model, where the first factor is the normal RMRF variable, and the remaining five factors are the macro variables times RMRF. This is the Ferson-Schadt conditional beta version of the Jensen model.